

# NFHA Trends Report 2015 Executive Summary

Where you live determines whether or not you have access to a high-performing school, fresh foods, reliable transportation, good job, quality health care, and recreation in a green space. It often determines even how long you will live. Yet for decades, many neighborhoods, especially urban neighborhoods of color, have been starved of investments in these and other community assets.

In this report, we highlight the relationship between housing choice and the various racial and ethnic disparities that exist today.

- Section I: the benefits that diverse and inclusive communities provide to society.
- Section II: overview of the data on the known complaints of housing discrimination in 2014 and the process for handling these complaints.
- Section III: notable cases challenging various policies and practices that affect people's access to housing of their choice and the benefits that go along with it.
- Section IV: pressing policy issues that affect housing choice and opportunity in America.
- Section V: recommendations for how to address these fundamental policy issues.

In 1968, the federal Fair Housing Act was passed to promote diverse and inclusive communities and to prohibit housing discrimination based on race, color, national origin, religion and, subsequently, sex, familial status, and disability. This was the first major step by the government to curtail daily acts of housing discrimination and to address entrenched residential segregation and its harmful effects on individuals and communities, but the law was weak in that it left enforcement to private individuals and the federal courts. In 1988, Congress amended the Fair Housing Act and provided essential legal tools for effective enforcement to both the U.S. Department of Justice (DOJ) and the U.S. Department of Housing and Urban Development (HUD). The amended law is the bedrock of strengthening housing choice.

Our nation has made great progress since the passage of and amendments to the Fair Housing Act, yet too many neighborhoods in the United States remain segregated by race and ethnicity. The persistence of housing discrimination perpetuates educational, employment, health, wealth and safety disparities between people living in White neighborhoods and people living in communities of color. In 2013, White families on average had seven times the wealth of African American families and six times the wealth of Latino families<sup>1</sup>. Housing discrimination also marginalizes people with disabilities and families with children of all races.

The startling incidence of housing discrimination begs immediate remedy. It is estimated that each year more than four million acts of discrimination occur in the rental market alone<sup>2</sup>, but Americans report only a small fraction of these acts in the form of complaints to private, nonprofit fair housing groups, and federal and local government agencies. In 2014, the American public reported 27,528 complaints of housing discrimination from around the country, a slight increase over the level in 2013. Discrimination on the basis of disability represented 51.8 percent of all complaints, while discrimination on the basis of race represented 22 percent of all complaints. Disability-based discrimination is easier to detect because it is typically blatant and as such is reported at higher levels than other types of discrimination, which occur more subtly and are less often recognized.

Private, nonprofit fair housing organizations continue to receive the majority of complaints of housing discrimination, more than double the number received by HUD and Fair Housing Assistance Program (FHAP) agencies (local and state civil or human rights agencies) combined. However, private fair housing organizations, HUD and FHAP agencies all lack the resources necessary to effectively counteract discrimination in housing markets. In fact, the number of full-time HUD staff dedicated to addressing housing discrimination is at an all-time low.

Access to mortgage credit is at an historic low, especially for people of color. In 2001, African Americans, who represent about 13 percent of the population, received 5 percent of conventional loans. By 2012, it had dropped to 2 percent. Latino borrowers, 17 percent of the US population, represented 8 percent of conventional borrowers in 2001 and only 4.5 percent in 2012<sup>3</sup>. This, along with other trends in the housing market, has had a deleterious effect on the ability of families of color to rebound from the shock of the foreclosure crisis.

A key component of creating vibrant, inclusive communities is the requirement that the use of all federal funds is aligned with the goals of the Fair Housing Act. HUD's forthcoming "Affirmatively Furthering Fair Housing" (AFFH) regulation is designed to ensure that localities promote inclusive communities while developing plans to expend Community Development Block Grant (CDBG) and other federal housing funds. HUD's AFFH rule comes at an opportune moment to help address major achievement gaps in the population at large and, in particular, for people of color, families with children and people with disabilities. However, the rule will only be effective if it is implemented properly and compliance with the rule is monitored.

Housing discrimination remains a significant problem in the United States, and we must take strategic steps to empower every neighborhood to be a welcoming and supportive environment for all. The nation's economic success depends on the opportunities available to every person.

**Note:** NFHA staff members typically use the terms "African American," "Latino," and "Asian American." However, this report references many resource materials in which the authors use alternate terms, such as "Black," "Hispanic," or "Asian." In those instances, we have retained the terms utilized by the author(s) of the original document; therefore, there is inconstant usage of various terms in this report. We intend no disrespect to any person.

<sup>1</sup> Urban Institute, "Nine Charts about Wealth Inequality in America"

<sup>2</sup> "The State of Fair Housing: FY2006 Annual Report on Fair Housing," U.S. Department of Housing and Urban Development.

<sup>3</sup> Benson, Clea, Dive in Minority Lending Puts Pressure on Fannie-Freddie, Bloomberg Business, July 14, 2014.